

BAMBURI CEMENT LIMITED

The Directors of Bamburi Cement Limited are pleased to announce the audited group results for the year ended 31 December 2012

Condensed Statement of Comprehensive Income	2012	2011
	KShs. Million	KShs. Million
Turnover	37,491	35,884
Operating costs	<u>(30,650)</u>	<u>(27,930)</u>
Operating profit	<u>6,841</u>	<u>7,954</u>
Investment income	657	342
Other gains and losses	(71)	544
Finance costs	<u>(251)</u>	<u>(374)</u>
Profit before tax	7,176	8,466
Tax	(2,294)	(2,607)
Profit for the year	<u>4,882</u>	<u>5,859</u>
Other comprehensive income		
Exchange differences on translation of foreign operations	(797)	219
Net loss on revaluation of available-for-sale financial assets	(188)	(271)
(Loss)/gain on hedging instruments entered into for cash flow hedges	(33)	8
Gain on revaluation of property, plant and Equipment	7,259	-
Income tax effect on other comprehensive income	<u>(411)</u>	=
Total other comprehensive income	<u>5,830</u>	<u>(44)</u>
Total comprehensive income	<u>10,712</u>	<u>5,815</u>
Total comprehensive income attributable to:		
Owners of the parent company	10,086	5,130
Non-controlling interests	<u>626</u>	<u>685</u>
	<u>10,712</u>	<u>5,815</u>
Earnings per share (EPS) – KShs. per Share*	12.17	14.44

*EPS calculated on profit after tax attributable to shareholders of the parent and based on average number of shares

Condensed Statement of Financial Position	2012	2011
	KShs. Million	KShs. Million
Assets		
Non-current assets		
Property, plant and equipment	25,907	19,289
Intangible assets	160	106
Other equity investments	452	640
Goodwill	217	217
	<u>26,576</u>	<u>20,146</u>
Working capital		
Current assets	7,693	6,220
Current liabilities	<u>(7,011)</u>	<u>(5,097)</u>
	<u>682</u>	<u>1,123</u>
Cash and bank balances	<u>8,769</u>	<u>7,136</u>
	<u>36,027</u>	<u>28,405</u>
Equity		
Share capital	1,815	1,815
Reserves	26,571	20,213
Attributable to equity holders of the parent	<u>28,386</u>	<u>22,028</u>
Non-controlling interests	2,475	2,146
Non-current liabilities	<u>5,166</u>	<u>4,231</u>
	<u>36,027</u>	<u>28,405</u>

Condensed Statement of Cash Flows	2012	2011
	KShs. Million	KShs. Million
Cash generated from operations	<u>8,977</u>	<u>7,595</u>
Interest received	651	342
Interest paid	(251)	(374)
Net foreign exchange (loss)/gain	(98)	417
Tax paid	<u>(1,818)</u>	<u>(2,300)</u>
Net cash generated from operating activities	<u>7,461</u>	<u>5,680</u>
Net cash used in investing activities	(1,424)	(1,320)
Net cash used in financing activities	<u>(4,404)</u>	<u>(4,840)</u>
Net increase/(decrease) in cash and cash equivalents	1,633	(480)
	<u>7,136</u>	<u>7,616</u>
At beginning of the year	<u>8,769</u>	<u>7,136</u>
At end of the year		

Condensed Statement of Changes in Equity	2012	2011
	KShs. Million	KShs. Million
Share capital	1,815	1,815
Revaluation reserve	8,307	1,823
Fair value and translation reserves	(611)	407
Retained earnings	<u>18,875</u>	<u>17,983</u>
Attributable to equity holders of the parent	<u>28,386</u>	<u>22,028</u>
Non-controlling interests	<u>2,475</u>	<u>2,146</u>
At end of the year	<u>30,861</u>	<u>24,174</u>

***Explanatory notes:** These results are extracted from the consolidated financial statements of Bamburi Cement Limited for the year ended 31 December 2012. The financial statements were audited by Ernst & Young, and have received an unqualified opinion.*

HIGHLIGHTS

The Group's turnover increased by 4% to KShs. 37.5 billion resulting from growth in exports into Inland Africa out of Uganda in the first half of the year and growth in domestic sales in Kenya, despite increased competition. There was, however, a decline in growth of exports sales into the Inland African markets in the second half of the year due to political instability in those markets.

Despite increase in turnover, the Group's operating profit reduced by 14% to KShs 6.9 billion, driven by an increase in the cost of sales which grew by 7%. The reduction in operating profit was due to a difficult cost environment driven by high inflation, removal of power subsidies in Uganda that resulted in a 70% power cost increase and higher than budget reliance on imported clinker in Kenya before the commissioning of the bag filter project in the last quarter of 2012. These were partly mitigated by the Group's cost containment actions including improved energy efficiencies, higher use of alternative biomass fuels and managing both plant and administrative overheads.

Pre-tax profit reduced by 15% following lower exchange gains on foreign currency cash balances partially shored by higher investment income on cash deposits.

The Group continues to focus on working capital management to optimise cash balances.

During the year the Group re-valued its assets and has booked a revaluation reserve of Kshs. 7.3 billion in the financial statements

2013 OUTLOOK

The Group anticipates underlying cement demand to continue growing in the region, despite a slow start in Kenya influenced by the election period, supported by improved political stability in the

inland Africa export markets. The Group remains well positioned to take advantage of such growth opportunities while protecting market share.

Productivity and efficiencies in industrial operations improvements are expected as a result of our focus on industrial performance and the full benefit of the completed bag filter project in our Mombasa plant. We expect to significantly reduce on use of imported clinker, continue on our cost containment actions while optimizing our working capital.

To realise its vision, the Group will focus on key strategic priorities namely superior customer service, industrial excellence and a committed work force. We will seek to leverage on our strong brand equity, our position in the concrete and precast segments together with cost leadership, optimising our fuel mix with biomass alternative fuels and working capital optimization.

DIVIDEND

An interim dividend of KShs. 2.00/= per ordinary share amounting to KShs. 726 Million was paid on 12 October 2012.

The Board of Directors recommends payment of a final dividend of KShs 8.50/= per ordinary share (KShs. 8.00/= per ordinary share paid in 2011) subject to approval by shareholders at the Annual General Meeting. The final dividend, when added to the interim dividend already paid, brings the total dividend for the year to KShs. 3,812 Million (KShs. 3,629 Million in 2011).

CLOSURE OF SHARE REGISTER

Subject to approval by the Shareholders at the Annual General Meeting, the final dividend for 2013 will be paid on or about 15 June 2013 to members on the register at close of business on 2 April 2013. Accordingly, the register of members will close at 4.30pm on 2 April 2013 and will remain closed up to 3 April 2013.

By Order of the Board,

Hussein Mansi
Managing Director
28 February 2013